MAVEN TOYS

Colorbuds, our #1 profit toy, is in decline

A plan to protect profit by backing newer, higher-margin toys



Business review | Data through Sep 30, 2023

Our top profit toy is fading, and a newer toy is already making up part of the gap

COLORBUDS' SHARE OF QUARTERLY PROFIT

28% → 13%

Q3 2022 to Q3 2023

PLAYFOAM'S RANK AMONG ALL TOYS BY PROFIT

#2 of 35

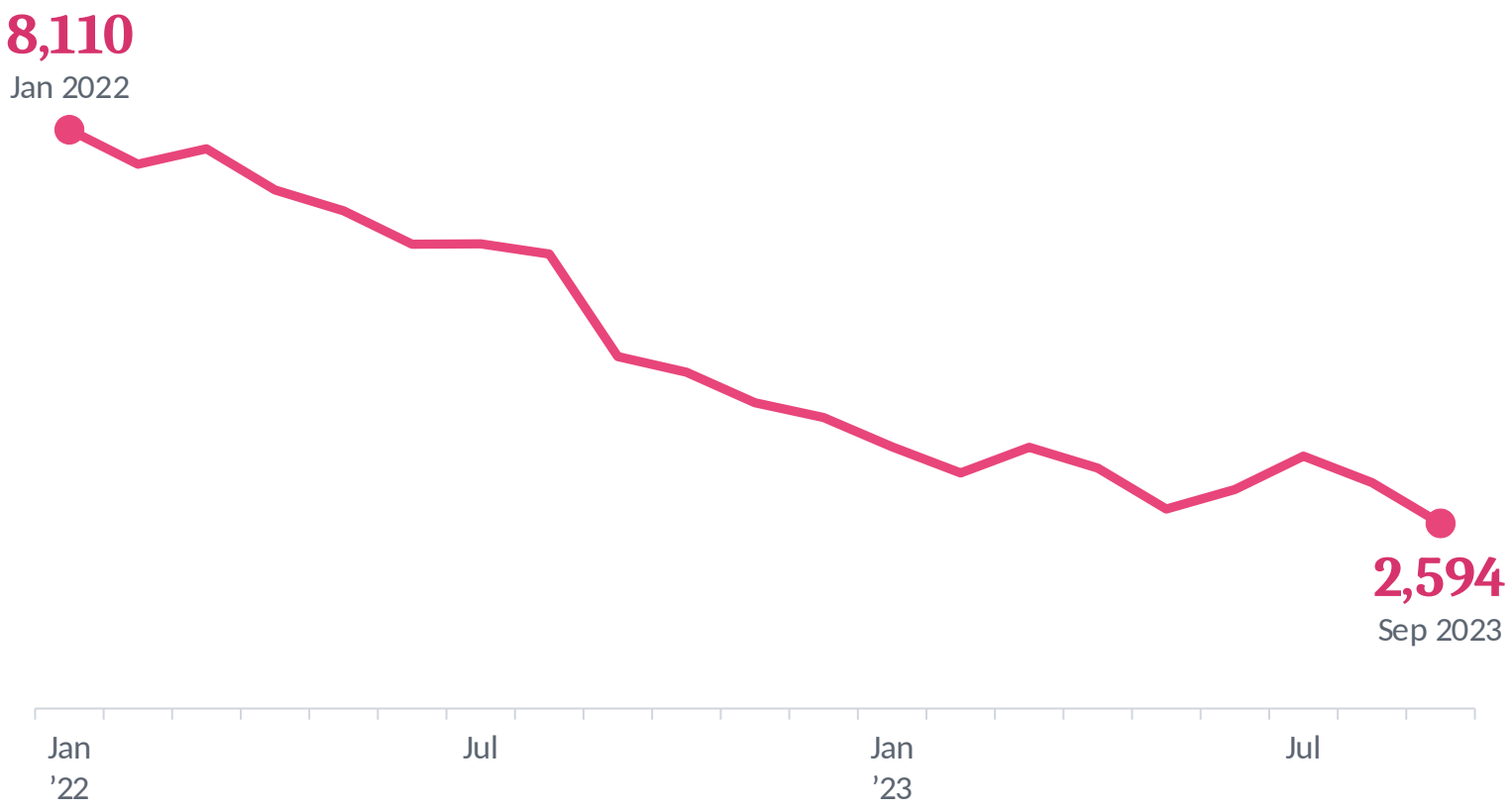
Behind only Colorbuds, in its first six full weeks on sale

- Colorbuds is still our **#1 profit toy**, but its share has **more than halved**
- Playfoam launched in mid-August and is already our **#2 profit toy**
- Playfoam earns about **$20K a month**, nearly half of the $44K Colorbuds has lost

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Colorbuds sales have fallen 68% since January 2022, across almost every store

COLORBUDS UNITS SOLD PER MONTH



WHAT WE SEE

- Down in **48 of 50 stores**, in every store type
- Every store still carries it, so this is **weaker demand, not empty shelves**
- Quarterly profit has **roughly halved**: $142K to $74K

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Fading is normal for our toys: 9 of 10 recent launches are 40%+ below their peak

9 of 10

recent launches are **40%+ below their peak month**



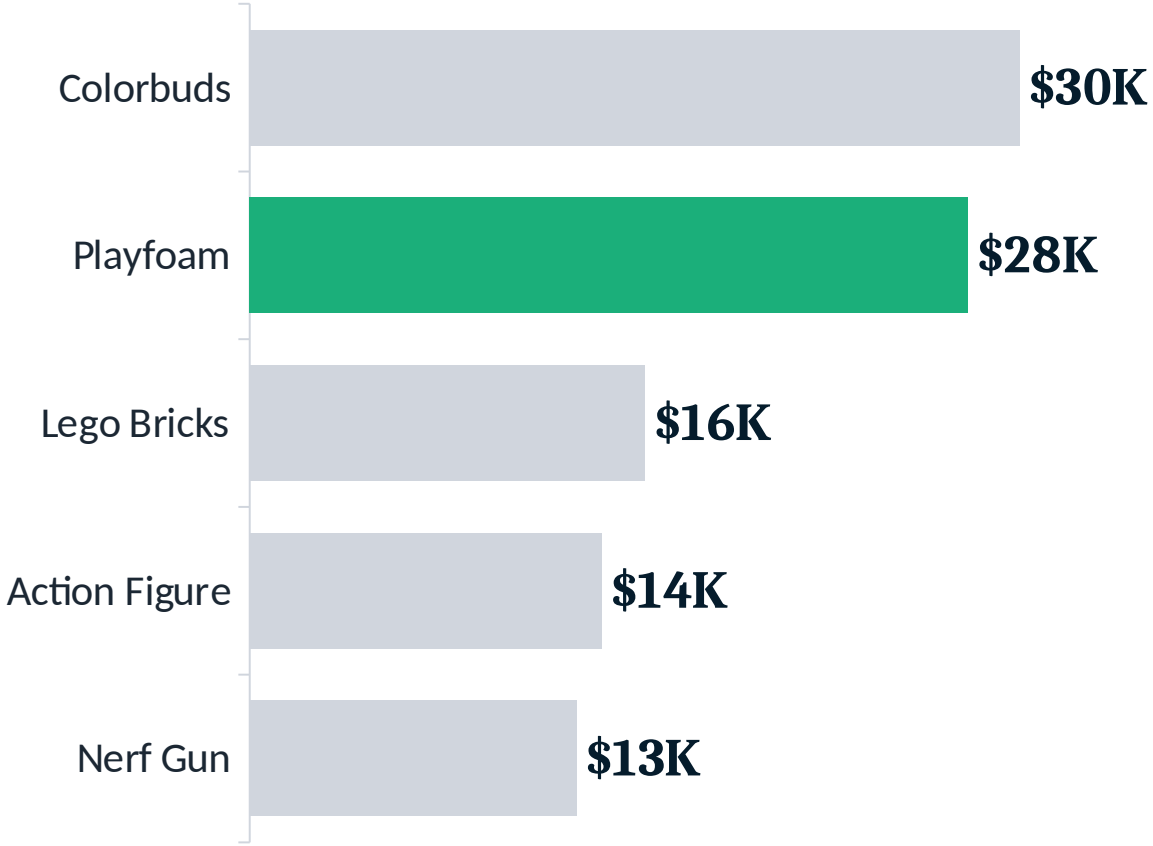
EXAMPLES

- Jenga peaked in Jul 2022 and is now down 92%
- Etch A Sketch peaked its second month and is down 56%
- Mr. Potatohead peaked in Nov 2022 and is now down 65%
- **Colorbuds is following the same trend**

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Playfoam is the early bright spot, but 13 empty stores are costing us about $5K a month

ESTIMATED PROFIT BY TOY, LAST SIX FULL WEEKS (AUG 20 - SEP 30)



64% margin

$7 profit on every unit

13 stores out of stock

about $5K a month left on the table

- **#1 profit toy in 2 of 6 weeks**, ahead of Colorbuds
- New toys often cool off, so **the window to act is short**

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Next 8 weeks: keep Playfoam on shelves, test a Colorbuds fix, then back what works

1

Restock Playfoam

Goal: stop losing Playfoam sales to empty shelves

- Refill the **13 stores** that have none
- Gain: about **$5K more profit a month**
- Check stock **every week**

2

Test a Colorbuds fix

Goal: win back some of the lost Colorbuds sales

- Try **new colors**, a **bundle with Gamer Headphones**, or a **better shelf spot**
- Pilot in **10 stores** vs 10 similar stores that change nothing
- Prize: a quarter of lost sales back is **$11K more profit a month**

3

Review in 8 weeks

Goal: put effort behind what works

- **Scale** the Colorbuds fix if pilot stores sold **15% more**, otherwise stop
- Check whether **Playfoam is holding up** or cooling off
- Pick the next **higher-margin toy** to back

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.